In this "tale of two countries," to borrow a phrase from Thomas Piketty and his collaborators, it is difficult to say which is more mind-boggling: the level of hardship experienced by Americans in the bottom half of the income distribution or the enormous riches enjoyed by the handful of those at the top of the economic pyramid. In any case, the presence of a large poverty population in such a wealthy country and the massive and growing gap between the rich and the poor, inhabitants of two vastly different worlds, is not only a societal health hazard, it also runs contrary to any sensible notion of fairness. Granted, it would be no easy matter to specify precisely what an equitable distribution of society's resources might be. But it is difficult to imagine how anyone reflecting on the data presented above, along with the information already provided in this chapter (with more to come), could arrive at the conclusion that the United States is the embodiment of a just society.

The widening economic divide represents a deep contradiction between American ideals and American realities. It undermines the principle of equality of opportunity, erodes feelings of social solidarity, reinforces huge and dangerous disparities in power, and subverts the democratic ideal of political equality. Widespread poverty amid great wealth: What does this say about the kind of society we are and aspire to be? The seriousness of this problem is not just found in the facts conveyed by economic indicators, but also in the troubling moral questions it compels us to consider. At the end of his award-winning book, *Evicted*, Matthew Desmond raises just this point. By "no American value," he says, are current levels of inequality and deprivation justified. "No moral code or ethical principle, no piece of scripture or holy teaching, can be summoned to defend what we have allowed our country to become."[79] This is a thought readers might ponder as they make their way through the following pages.

THE INDIVIDUALISTIC PERSPECTIVE AND THE STRUCTURAL PERSPECTIVE

To acknowledge that American poverty is a serious problem would be a step forward. But a contentious question remains: What causes people to be poor? The debate on this issue is framed by the opposition between two perspectives: the individualistic and the structural. Is poverty caused by lack of effort on the part of the poor or by circumstances beyond their control? Are people poor because of their own failings or because of the failings of the American political economy? Do poor people themselves bear the burden of responsibility for overcoming their deprivation, or should government do more to alleviate problems of poverty and inequality? Is poverty best combated by reforming the poor or by reforming society?

My approach in this book is to sharpen and underscore the contrast between these two perspectives. This strategy is intended to draw detailed attention to the divergence in the assumptions, arguments, and implications of these opposing views. And, as I hope to show, the added benefit of placing these two ways of thinking about poverty alongside one another and closely examining their differences is that it brings to the surface the inherent deficiencies of the individualistic perspective and the comparative strengths of the structural perspective.

These two viewpoints propose radically dissimilar theories of poverty. For the individualistic perspective, poverty results from personal weaknesses, failings, and inadequacies. People are poor for some combination of the following reasons: they are deficient in intelligence, competence, and ability; they are insufficiently experienced, skilled, and educated; they lack ambition, determination, and perseverance; they have poor attitudes, motivations, and values; they make bad choices and engage in self-destructive behaviors; and they are unable or unwilling to exert the necessary effort or take advantage of the opportunities available to them. Poverty is an individual problem, according to this perspective; it is a by-product of the characteristics and behaviors of the poor.

The structural perspective attributes poverty to an assortment of economic, political, cultural, and social forces outside the immediate control of the individual: a shortage of jobs that pay a living wage; a corporate profit-making strategy predicated on the reduction of labor costs; government policy that caters to the concerns of the wealthy while ignoring the interests of working-class families; a political and media rhetoric that variously disparages the poor, treats them as objects of charity, and renders them invisible; and the persistence of discrimination, residential segregation, and social isolation. Poverty is a social problem, according to this perspective; it is a by-product of the distribution of power and the institutional features of society.

The individualistic perspective explains poverty mainly by reference to the choices and behaviors of the poor. They drop out of high school; they reject marriage and sexual monogamy; they have children out of wedlock; they join gangs, do drugs, and commit crimes; and they refuse to stick with a job. For the individualistic perspective, poor people are victims of their own bad decisions and lifestyle preferences. The structural perspective, conversely, explains poverty mainly by reference to the choices and behaviors of the people who occupy positions of political and economic power. They downsize the workforce, relocate factories overseas, and impose wage and benefit reductions. They legislate cutbacks in social welfare programs, enact tax cuts for the rich, craft trade agreements that profit multinational corporations at the expense of workers, and pass laws hindering the ability of employees to form labor unions. They also spend millions of dollars to disseminate the message that the "free market" is fair and efficient, government programs are wasteful and counterproductive, and poverty is the fault of the poor. For the structural perspective, poor people are victims of the decisions and actions of political and economic elites.

Theories of poverty imply theories of society. And these two perspectives convey sharply conflicting images of the United States. For the individualistic perspective, American society is a meritocracy in which hard work and determination pay off. Through the magic of the market, the rewards people receive correspond to their economic contribution. For the structural perspective, the distribution of earnings, income, and wealth is less a reflection of differences in individual ability and effort than it is an outcome of economic and political struggles, past and present, and enduring disparities in power. The individualistic perspective and the structural perspective disagree about a variety of related issues as well: Are current inequalities fair or unfair, are opportunities for getting ahead plentiful or scarce, do individuals compete on a level or tilted playing field, does discrimination continue to play a significant role in explaining race and gender inequalities, and is the American Dream a reality or a myth? The appendix at the end of this book provides a summary overview of the key differences between the individualistic perspective and the structural perspective.

ORGANIZATION OF THE BOOK

Grounded in a synthesis of current research findings and recent studies of American poverty, this book develops a sustained critique of individualistic theories and makes a case for an alternative structural perspective. It is intended for classroom use, written in an accessible manner, and targeted specifically to undergraduate students. The book is organized into three parts, plus this introductory chapter and a concluding chapter. In part I, consisting of chapters 2 through 4, I summarize and critique in turn each of the three main individualistic theories of poverty: the biogenetic theory, the cultural theory, and human capital theory. These theories, often found in some combination, attribute poverty to the failings of the poor, though they each underline a somewhat different set of failings. For the biogenetic theory, the poor are deficient in cognitive ability; for the cultural theory, they are deficient in achievement motivations; and for human capital theory, they are deficient in education and skills.

My plan in each of these chapters is to highlight the central claims of the theory in question, describe as clearly as possible the logic of its argument, flesh out the underlying assumptions and implications, and identify its conceptual and empirical weaknesses. Along the way, I begin making the case that we need to abandon individualistic theories in favor of a structural alternative. These three chapters constitute only an opening salvo in my critique